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New subsection in Section 2. (Grant of Rights) — AI-generated Outputs ownership and assignment

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INSTRUCTION

Insert as a new subsection at the end of Section 2. (Grant of Rights).

PROPOSED LANGUAGE

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2.9 AI-Generated Outputs.
(a) Definitions. For purposes of this Agreement, "AI-Generated Outputs" means any content, including but not limited to text, images, audio, video, musical compositions, levels, maps, code, assets, or other creative or expressive works, that is generated, produced, or synthesized by or with the assistance of any artificial intelligence, machine learning, generative model, or automated content-generation tool ("AI/ML").
(b) Ownership and Assignment. All right, title and interest in and to any AI-Generated Outputs that are based on, derived from, incorporate, reference, or are trained on the Licensor Title, Licensor Materials, or any Confidential Information of PixelRush Studios, Inc. shall be the exclusive property of PixelRush Studios, Inc. Broadlaunch Mobile hereby irrevocably assigns, and shall cause its Affiliates, sublicensees, contractors, service providers and end users to irrevocably assign, all right, title and interest in and to such AI-Generated Outputs to PixelRush Studios, Inc., including without limitation any copyrights, moral rights, database rights, and any other proprietary rights worldwide, in perpetuity and for the full term of such rights.
(c) No Residual Rights or Licenses. No party (including Broadlaunch Mobile, its Affiliates, sublicensees, contractors, service providers or end users) shall retain any residual rights, implied licenses or claims in any prompts, AI models, training data or AI-Generated Outputs that incorporate or are derived from the Licensor Title or Licensor Materials; to the extent any such residual rights cannot be assigned under applicable law, Broadlaunch Mobile hereby grants to PixelRush Studios, Inc. an exclusive, perpetual, irrevocable, worldwide, royalty-free, transferable and sublicensable license to exercise such rights.

(d) Further Assurances. At PixelRush Studios, Inc.'s reasonable request and expense, Broadlaunch Mobile shall execute and deliver all documents and take such further actions as may be necessary to effect, perfect or confirm PixelRush Studios, Inc.'s ownership of the AI-Generated Outputs.
(e) Survival. This Section 2.9 shall survive expiration or termination of this Agreement.

WHERE THIS GOES

AI-generated outputs ownership belongs in Section 2. (Grant of Rights) because it defines the scope of rights and ownership PixelRush grants or retains in the licensed Title and related materials.

RATIONALE

Include if the Mobile Application will produce or expose any end-user-visible content generated or assisted by AI/ML; this locks ownership with PixelRush Studios, Inc.

- Prevents Broadlaunch Mobile or downstream users/contractors from claiming rights in AI outputs derived from PixelRush's Title or Materials.
- Provides assignment and license-back fallback to ensure PixelRush can exploit outputs even if some rights are non-assignable under local law.

AUTHORITY

- US Copyright Office, "Copyright Registration Guidance: Works Containing Material Generated by Artificial Intelligence," 88 Fed. Reg. 16190 (Mar 16, 2023).

New subsection in Section 3 (Development and Distribution of the Mobile Application) — AI training-data lawfulness warranty & indemnity

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 3.1 (Development) in Section 3 (Development and Distribution of the Mobile Application).

PROPOSED LANGUAGE

Copy

3.1.6 AI Training-Data Lawfulness Warranty and Indemnity.
(a) Broadlaunch Mobile warrants that, for any artificial-intelligence or machine-learning models (including third-party models, APIs, services, datasets, or outputs) embedded in, used by, or relied upon in connection with the Mobile Application ("AI Components"), Broadlaunch Mobile has no knowledge that such AI Components were trained, fine-tuned, or otherwise developed using data that was obtained or used in violation of U.S. law, including without limitation by (i) unauthorized scraping or automated access that breaches a third party's website terms of service or the Computer Fraud and Abuse Act; (ii) use of copyrighted works without a valid license or other lawful basis; (iii) use of personally identifiable information or other regulated personal data in violation of applicable U.S. privacy laws; or (iv) combining, stacking, or otherwise incorporating outputs or proprietary models in a manner that transfers third-party proprietary content without authorization.

(b) Broadlaunch Mobile shall, at its own expense, indemnify, defend and hold harmless PixelRush Studios, Inc., its officers, directors, employees and agents from and against any and all claims, liabilities, losses, damages, and expenses (including reasonable attorneys' fees and costs) arising out of or relating to a breach of the warranty in Section 3.1.6(a), including claims that the training, fine-tuning, development or use of any AI Components infringes any third party intellectual property right or violates applicable U.S. privacy, computer access, or data-use laws.
(c) To the extent Broadlaunch Mobile uses third-party AI vendors or providers in connection with the Mobile Application, Broadlaunch Mobile shall obtain and maintain for the benefit of PixelRush Studios, Inc. express written indemnities from such third-party AI vendors providing substantially the same protections as set forth in Section 3.1.6(b), and Broadlaunch Mobile shall provide copies of those indemnities to PixelRush Studios, Inc. upon request.
(d) The obligations in this Section 3.1.6 survive termination or expiration of this Agreement for a period of three (3) years with respect to claims based on acts or omissions that occurred during the term of this Agreement.
(e) The parties acknowledge that if Broadlaunch Mobile represents in writing before execution that no AI Components will be embedded in, used by, or relied upon in connection with the Mobile Application, then the warranties and indemnities in this Section 3.1.6 shall be of no force or effect; if Broadlaunch Mobile later elects to use AI Components, Broadlaunch Mobile must obtain PixelRush Studios, Inc.'s prior written consent and the warranties and indemnities in this Section 3.1.6 shall apply retroactively to the date of first use of such AI Components.

WHERE THIS GOES

AI training-data lawfulness is an IP / permitted-use protection tied to development and deployment of the Mobile Application, so this belongs in Section 3 (Development and Distribution of the Mobile Application).

RATIONALE

Include if Broadlaunch Mobile will embed or rely on any AI/ML models in providing the Mobile Application; otherwise this clause is unnecessary.

- Protects PixelRush by requiring a warranty that AI training data was lawfully obtained and used, addressing litigation risks cited in recent cases and laws.
- Secures pass-through indemnities from third-party AI vendors and survival period to preserve PixelRush's recovery post-term.

New subsection in Section 3.1 (Development) — AI-output IP indemnity and defense obligations

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 3.1 (Development).

PROPOSED LANGUAGE

Copy

3.1.X AI-Generated Output Indemnity and Remedies. Broadlaunch Mobile shall defend, indemnify and hold harmless PixelRush Studios, Inc. and its officers, directors, employees and agents from and against any and all losses, liabilities, damages, costs and expenses (including reasonable attorneys' fees and court costs) arising out of or relating to any claim that the Mobile Application, or any content, recommendation, image, text, music, code, or other material generated by or with the assistance of any artificial intelligence or machine-learning model or any third-party AI/ML service used by or on behalf of Broadlaunch Mobile in connection with the Mobile Application (collectively, "AI-Generated Outputs"), infringes, misappropriates, or otherwise violates the intellectual property, publicity or privacy rights of any third party, or constitutes a defamatory or unlawful statement or content. Broadlaunch Mobile's indemnity obligations under this Section 3.1.X shall include a duty to defend on written demand, shall not be limited by any liability cap or other limitation in this Agreement, and shall include, at Broadlaunch Mobile's election and expense, prompt removal, correction, modification, or replacement of the allegedly infringing AI-Generated Outputs and, if necessary, replacement or modification of the Mobile Application to prevent recurrence. Broadlaunch Mobile shall ensure that any contractual arrangements with third-party AI/ML service providers include flow-down obligations sufficient to enable Broadlaunch Mobile to perform its defense and indemnity obligations hereunder.

WHERE THIS GOES

AI-output indemnity is an IP/indemnity topic tied to development and content generation, so this fits as a new subsection at the end of Section 3.1 (Development).

RATIONALE

Include if Broadlaunch Mobile will expose end users to generative AI features or use generative AI to produce in-game assets or content.

- Closes a material indemnity gap where runtime AI outputs may not be treated as 'materials developed by' Provider and could leave PixelRush exposed.
- Preserves PixelRush's remedies (defense, remediation) and prevents Broadlaunch from escaping liability via AI service subcontracting.

New subsection in Section 10 (Confidentiality) — AI output disclaimers, user notices, and indemnity

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.X AI OUTPUT ACCURACY, USER NOTICE AND INDEMNITY

(a) If Broadlaunch Mobile uses, incorporates or exposes to End Users any output, recommendation, suggestion, content, or decision-support (collectively, “AI Output”) generated in whole or in part by machine-learning models, generative AI, large language models, or other automated decisioning systems (each

an “AI System”) in the Mobile Application, marketing materials, or End-User Terms, Broadlaunch Mobile shall: (i) include a clear, conspicuous and reasonably prominent disclaimer in End-User Terms and in any user interface or marketing where such AI Output is presented that (A) AI Output may be inaccurate, incomplete, or misleading and should not be relied on as professional, legal, medical, financial, safety, or other expert advice, and (B) users should independently verify information that could affect important decisions; (ii) make any such disclaimer available in the same language and by the same means as the AI Output is presented to the End Users; and (iii) log and retain records sufficient to demonstrate compliance with this subsection for at least three (3) years.

(b) Broadlaunch Mobile will not represent or imply that PixelRush Studios endorses or guarantees the accuracy, reliability or safety of any AI Output, and Broadlaunch Mobile shall include a conspicuous statement in End-User Terms and in marketing materials that PixelRush Studios is not responsible for and does not endorse AI Output unless PixelRush Studios has provided an express written endorsement for a specific AI Output.

(c) Broadlaunch Mobile shall advise End Users, in the same locations where AI Output is displayed, to consult a qualified professional before relying on AI Output for material decisions affecting health, legal status, safety, finances, or similar significant matters.

(d) Broadlaunch Mobile shall indemnify, defend and hold harmless PixelRush Studios, its officers, directors, employees and agents from and against any and all claims, losses, liabilities, damages, costs and expenses (including reasonable attorneys' fees) arising out of or relating to (i) any End User's reliance upon or use of AI Output provided through the Mobile Application or marketing, or (ii) Broadlaunch Mobile’s failure to include the disclaimers and notices required by this Section 10.X.

(e) The parties acknowledge that AI Output may change over time as models are updated; Broadlaunch Mobile shall ensure that any disclaimers and notices required by this Section 10.X are updated promptly to reflect material changes to the provenance, scope, or reliability of AI Output.

(f) The remedies in this Section 10.X are in addition to, and not exclusive of, any other remedies available at law or in equity to PixelRush Studios.

WHERE THIS GOES

AI output disclaimers and user notices are a permitted-use / confidentiality control, so this fits in Section 10 (Confidentiality).

RATIONALE

- Counterparty confirmed gap is live; this clause forces Broadlaunch Mobile to warn users and preserve PixelRush Studios' reputation and risk exposure.
- Requires conspicuous disclaimers, user verification advice, recordkeeping, and an indemnity for PixelRush Studios tied to user reliance or Broadlaunch Mobile's failures.
- Addresses regulatory and legal risk highlighted by FTC guidance and recent case law on fabricated AI outputs.

New subsection in Section 10 (Confidentiality) — human-in-the-loop for high-stakes AI decisions

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Human-in-the-loop for High-Stakes AI Decisions.
(a) Broadlaunch Mobile shall not use any automated or AI-assisted decision-making systems in connection with the Mobile Application or any services, systems, or operations tied to the Mobile Application to make or materially support decisions that have legal or similarly significant effects on natural persons (including, without limitation, decisions regarding employment, credit, healthcare, housing, benefits, insurance, or eligibility for services) unless: (i) a qualified human reviewer performs documented review and provides final approval before any adverse or materially consequential action is taken; (ii) the human reviewer is provided with sufficient information, tools, and time to reasonably understand, override, and, where appropriate, correct the AI system's output; and (iii) Broadlaunch Mobile maintains and, upon PixelRush Studios' written request, promptly produces audit-ready records demonstrating the review process, the identity or role of the reviewer, the rationale for the final decision, and any overrides or corrections.
(b) Broadlaunch Mobile shall ensure that any use of AI in the contexts described in Section 10.3(a) complies with applicable laws and regulations governing automated decision-making, including but not limited to Colorado SB 24-205 (Colorado AI Act), C.R.S. § 6-1-1701 et seq., EU AI Act Regulation (EU) 2024/1689 Article 14, and GDPR Article 22, and shall defend, indemnify, and hold harmless PixelRush Studios from and against any Losses arising from Broadlaunch Mobile's failure to comply with Section 10.3(a) or applicable automated-decision laws.
(c) Broadlaunch Mobile will promptly notify PixelRush Studios in writing if it intends to use AI in any of the categories listed in Section 10.3(a) and, if requested by PixelRush Studios, will provide a written description of the human review process, the qualifications required of reviewers, and examples of audit records that will be retained.
(d) The obligations in this Section 10.3 survive termination or expiration of this Agreement for a period of two (2) years with respect to decisions made or systems deployed during the term and for any claims based on acts or omissions occurring during the term.

WHERE THIS GOES

Human-in-the-loop prohibitions are a permitted-use / confidentiality restriction, so this fits in Section 10 (Confidentiality).

RATIONALE

Include if Broadlaunch Mobile will use any AI in employment, credit, healthcare, housing, insurance, or other consequential decision-making connected to the game or its operations.

- Protects PixelRush Studios' brand and legal risk by requiring documented human review and audit records before consequential automated actions.

- Creates an indemnity backstop for PixelRush Studios for Broadlaunch Mobile's noncompliance with AI oversight or applicable laws.

New subsection in Section 10 (Confidentiality) — AI model-change notifications and rollback

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Model Changes; Notice; Approval; Rollback.
(a) Broadlaunch Mobile shall provide PixelRush Studios at least thirty (30) days' prior written notice of any intended material change to any AI model, prompt set, training data, grounding data, or other machine-learning component or parameter used by the Mobile Application that could reasonably be expected to affect the Application's outputs, behavior, or compliance with applicable laws or PixelRush Studios' brand or content requirements. "Material change" includes, without limitation, changes that alter the model architecture, training corpus, prompt-engineering that changes substantive outputs, deployment of a different model, or updates that the Parties reasonably agree are material.
(b) PixelRush Studios may, within fifteen (15) days after receipt of such notice, approve or reject the proposed change in its reasonable discretion. PixelRush Studios' approval shall not be deemed given unless provided in writing. If PixelRush Studios rejects the proposed change, Broadlaunch Mobile shall not implement the change.
(c) If Broadlaunch Mobile implements any change without required notice or approval, or if an approved change materially degrades compliance, safety, or infringement risk, PixelRush Studios may require Broadlaunch Mobile to (i) promptly revert the Application to the last approved model or configuration, (ii) provide a timeline and remediation plan acceptable to PixelRush Studios to address and correct the adverse effects, and (iii) reimburse PixelRush Studios for any direct, reasonable costs incurred solely as a result of the unauthorized or degrading change. Broadlaunch Mobile represents and warrants that any change implemented in accordance with this Section 10.3 will not, and will not reasonably be expected to, cause the Mobile Application to fail to comply with applicable law or any material obligation to PixelRush Studios.
(d) Broadlaunch Mobile shall promptly notify PixelRush Studios in writing if it becomes aware of any intentional substantial modification that triggers a new or updated legal assessment under applicable law (including, without limitation, the EU AI Act Article 25 and C.R.S. § 6-1-1703), and, if applicable, shall provide evidence of completion of any legally required impact assessment and remediation within the timelines required by such law. Broadlaunch Mobile shall cooperate in good faith with PixelRush Studios' reasonable requests for information necessary to assess the effect of any change.
(e) The rights and remedies in this Section 10.3 are in addition to, and not exclusive of, any other rights and remedies available to PixelRush Studios under this Agreement or at law or in equity.
(f) For clarity, nothing in this Section 10.3 obligates PixelRush Mobile to provide source code, training data in raw form, or proprietary model weights, but Broadlaunch Mobile shall provide sufficient documentation, test results, and sample outputs to enable PixelRush Studios to evaluate the proposed change for the purposes of this Section 10.3.

WHERE THIS GOES

AI model-change notification and approvals are a permitted-use / confidentiality control and therefore belong in Section 10 (Confidentiality).

RATIONALE

- Closes the silence on post-approval AI model changes that could alter behavior or compliance risk to PixelRush Studios.
- Gives PixelRush Studios advance notice and written-approval veto plus rollback and remediation rights to protect brand and legal compliance.
- Memorializes deployer obligations referenced by EU AI Act Art. 25 and Colorado AI Act timing to avoid downstream regulatory exposure.

New subsection in Section 10 (Confidentiality) — AI incident reporting and cooperation

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 AI Incident Notification and Cooperation.
(a) Broadlaunch Mobile shall notify PixelRush Studios in writing without undue delay and, in any event, within seventy-two (72) hours after Broadlaunch Mobile first becomes aware of any AI-related incident involving the Mobile Application or any models, systems, or services used to develop, operate, or distribute the Mobile Application that: (i) causes or reasonably could cause material harm to users or third parties (including physical injury, significant financial loss, or reputational harm); (ii) unreasonably discriminates against a protected class or results in algorithmic discrimination; (iii) produces or disseminates prohibited content (including but not limited to child sexual abuse material, unlawful deepfakes, or other content in violation of applicable law); (iv) results from a model compromise, jailbreak, prompt-injection, or other unauthorized manipulation of model behavior; or (v) triggers or is the subject of a regulatory inquiry or enforcement action relating to AI.
(b) The notice under subsection (a) shall describe the nature and scope of the incident to the extent known, the date and time of discovery, any affected systems or datasets, and Broadlaunch Mobile's initial mitigation steps. Broadlaunch Mobile shall provide timely subsequent updates as material new information becomes available, and shall deliver a written post-incident report to PixelRush Studios within thirty (30) days after the initial notice identifying root cause (to the extent known), actions taken, remediation plans, timelines for completion, and measures to prevent recurrence.
(c) Broadlaunch Mobile shall preserve and, at PixelRush Studios' written request, promptly provide relevant logs, model artifacts, training and inference data, prompts, prompt histories, configuration files, and other materials reasonably necessary for PixelRush Studios to investigate the incident and comply with legal or regulatory obligations, subject to any Third-Party rights and applicable law. Broadlaunch Mobile shall not destroy, alter, or suppress any such evidence pending completion of any investigation unless required by applicable law, in which case Broadlaunch Mobile shall notify PixelRush Studios promptly.

(d) Broadlaunch Mobile shall cooperate reasonably and in good faith with PixelRush Studios and with any regulatory authorities in any investigation or remediation relating to an AI-related incident, including by providing reasonably requested information, access to personnel, and technical assistance. Costs of cooperation shall be borne by the party incurring them, except that Broadlaunch Mobile shall bear PixelRush Studios' out-of-pocket costs for any cooperation that arises from Broadlaunch Mobile's breach, negligence, or willful misconduct.
(e) The obligations in this Section 10.3 are without prejudice to any incident reporting or cooperation obligations under applicable law (including but not limited to the EU AI Act, NIST guidance, and state AI laws), and do not limit either party's rights to seek equitable relief.

WHERE THIS GOES

AI incident reporting and cooperation belong within confidentiality-related operational obligations, so this fits in Section 10 (Confidentiality).

RATIONALE

- PixelRush lacks contractual notice and cooperation rights for AI incidents; this clause ensures timely notice, preservation, and cooperation.
- 72-hour initial notice plus 30-day report aligns with regulators' expectations (EU AI Act Art. 73, NIST, Colorado law) and gives operational timelines.
- Preserves PixelRush's ability to comply with legal/regulatory obligations and allocate remediation costs when Broadlaunch is at fault.

New subsection in Section 10 (Confidentiality) — AI oversight, audit and testing rights

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 AI oversight, audit and testing rights.
(a) Broadlaunch Mobile shall, on reasonable prior notice from PixelRush Studios, provide PixelRush Studios with access to (i) current AI documentation relevant to the Mobile Application and any AI components that process, generate, or otherwise affect content produced from Licensor's IP, including model and system cards, datasheets, architecture descriptions, training-data provenance summaries, evaluation reports, bias and fairness testing results, safety/red-team test summaries, incident and change logs, and remediation plans; and (ii) personnel reasonably knowledgeable about such AI components to answer questions during normal business hours. Where documents contain Broadlaunch Mobile confidential or third-party confidential information, Broadlaunch Mobile may redact only narrowly-tailored portions necessary to protect bona fide confidential or proprietary third-party secrets, but shall not redact information that would prevent PixelRush Studios from reasonably assessing AI safety, bias, or compliance risks.
(b) PixelRush Studios may, on reasonable prior notice and during normal business hours, (i) conduct non-

intrusive on-site or remote audits limited to review of the materials and personnel in (a), and (ii) perform controlled-environment testing and red-team exercises of the AI components using data provided by Broadlaunch Mobile or sanitized copies under mutually agreed technical safeguards; provided that such audits and testing shall be conducted so as not to unreasonably interfere with Broadlaunch Mobile's operations and shall comply with Broadlaunch Mobile's reasonable security and safety policies. Broadlaunch Mobile shall cooperate in good faith, provide reasonable assistance, and promptly implement agreed remediation steps for any material safety, bias, or compliance issues identified by PixelRush Studios. Broadlaunch Studios' exercise of rights under this Section 10.3 shall not be deemed a license to Broadlaunch Mobile's underlying model weights, training datasets, or other IP except as expressly provided in this Agreement.
(c) Broadlaunch Mobile shall notify PixelRush Studios promptly and no later than five (5) business days after becoming aware of any incident, complaint, regulator inquiry, or platform action reasonably likely to materially affect the safety, bias, or regulatory compliance of AI components that relate to Licensor's IP or Brand; such notice shall describe the nature of the incident, the impact on Licensor's IP or Brand, and the remediation steps Broadlaunch Mobile is undertaking. On request, Broadlaunch Mobile shall provide PixelRush Studios with updates until the incident is resolved.
(d) The parties shall treat information exchanged under this Section 10.3 as Confidential Information subject to Section 10 (Confidentiality).

WHERE THIS GOES

AI oversight belongs under Confidentiality because it governs exchange and protection of sensitive AI documentation and audit materials; add as a new subsection in Section 10 (Confidentiality).

RATIONALE

- PixelRush currently lacks rights to review AI systems that could affect its IP/brand; this clause creates explicit oversight and audit rights.
- Requires prompt incident notice and remediation obligations so PixelRush can meet regulator/platform inquiries and protect its reputation.
- Limits intrusive access and preserves Broadlaunch Mobile's legitimate confidentiality while preventing over-redaction that would frustrate assessment.

New subsection in Section 10 (Confidentiality) — AI and Insurance Requirements

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.X Insurance and AI-related Coverage. Broadlaunch Mobile shall, at its sole expense, procure and maintain during the Term and for two (2) years thereafter the following insurance: (a) Technology Errors & Omissions and Media Liability insurance covering liabilities arising from the development, distribution, marketing or

operation of the Mobile Application, expressly including claims arising from or relating to artificial intelligence, machine learning, AI-generated content, and third-party AI tools, and without any AI-specific exclusions, sub-limits, or carve-outs; (b) Cyber and Privacy Liability insurance covering data breaches, privacy violations, ransomware, network security incidents, and liabilities arising from use of AI or third-party AI services, expressly without AI-specific exclusions or sub-limits. Each policy shall (i) provide limits of liability no less than $3,000,000 per claim and in the aggregate for Technology E&O/Media Liability and no less than $2,000,000 per claim and in the aggregate for Cyber and Privacy Liability (or such higher amounts as PixelRush Studios may reasonably request in writing), (ii) name PixelRush Studios, Inc. as an additional insured (to the extent permitted by the insurer) and provide that such coverage is primary and non-contributory with respect to any other insurance maintained by PixelRush Studios, (iii) include a waiver of subrogation in favor of PixelRush Studios to the extent permitted by law, and (iv) provide that insurer shall give PixelRush Studios at least thirty (30) days' prior written notice of cancellation or material change. Broadlaunch Mobile shall deliver to PixelRush Studios, upon execution of this Agreement and thereafter upon renewal of such policies, certificates of insurance and, upon request, copies of applicable endorsements evidencing the coverages and expressly confirming that there are no AI-specific exclusions or sub-limits affecting coverage for claims arising from artificial intelligence or AI-generated content; failure to furnish such evidence within ten (10) days of request shall constitute a material breach. If Broadlaunch Mobile fails to procure or maintain the required insurance, PixelRush Studios may (but is not required to) procure such insurance and charge Broadlaunch Mobile for the cost, or exercise any other right or remedy under this Agreement or at law or equity.

WHERE THIS GOES

AI/insurance requirements are a risk-allocation and confidentiality-adjacent control; they belong in Section 10 (Confidentiality) because that section governs handling and risks related to confidential and AI-generated materials.

RATIONALE

- Insists Broadlaunch maintain E&O/media and cyber/privacy policies that expressly cover AI risks and AI-generated content, protecting PixelRush from uninsured AI exposure.
- Requires PixelRush be named additional insured, coverage primary/noncontributory, waiver of subrogation, and 30 days' notice of cancellation to preserve recovery rights.
- Requires COIs/endorsements expressly confirming no AI-specific exclusions; failure to provide is a material breach, giving PixelRush leverage.

New subsection in Section 10 (Confidentiality) — data residency and AI inference routing

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Data residency and AI inference routing.
(a) Definitions. For purposes of this Section 10.3: “EEA Data” means Personal Data (as defined under applicable data protection law) collected from data subjects located in the European Economic Area. “Inference Endpoint” means any network endpoint or external API used to perform AI model inference on Data. “Model Inference Region” means the geographic region in which an Inference Endpoint is hosted and where inference processing occurs.
(b) Regional storage and processing. Broadlaunch Mobile shall store and process PixelRush Studios’ Data, including backups and logs, only in the region(s) agreed in writing by the parties. For EEA Data, Broadlaunch Mobile shall store and process such Data exclusively within the European Economic Area (EEA) unless PixelRush Studios provides prior written consent to a specific alternative location.
(c) Inference endpoint residency and disclosure. If Broadlaunch Mobile uses any third-party or internally hosted AI models to process PixelRush Studios’ Data, Broadlaunch Mobile shall ensure that all Inference Endpoints that may process EEA Data are hosted and execute inference exclusively within the EEA and shall not route inference calls to any endpoint outside the EEA. Broadlaunch Mobile shall disclose in writing to PixelRush Studios, prior to any production use and promptly on any change, the identity of each model used and the Model Inference Region for that model.
(d) No fallback or routing without consent. Broadlaunch Mobile shall not implement or permit any fallback, burst, proxying, caching, or other routing of inference calls to endpoints outside the agreed region(s). Any exception requires PixelRush Studios’ prior written consent, which may be withheld in PixelRush Studios’ sole discretion, and, if given, must be subject to such technical and contractual safeguards as PixelRush Studios reasonably requires (including, where applicable, Standard Contractual Clauses or equivalent safeguards under applicable data protection laws).
(e) Audits and attestations. At PixelRush Studios’ request, Broadlaunch Mobile shall promptly provide documentation and reasonable technical evidence (including, where available, third-party SOC/ISO reports or configuration screenshots, and network traces) demonstrating compliance with this Section 10.3 and shall cooperate in any reasonable audit focused on data residency and inference routing.
(f) Remedies. Any breach of this Section 10.3 shall be deemed a material breach of this Agreement and PixelRush Studios’ rights and remedies for such breach shall be in addition to any other rights and remedies available at law or in equity.

WHERE THIS GOES

Data residency and AI inference routing are permitted-use/confidentiality restrictions, so this fits in Section 10 (Confidentiality).

RATIONALE

- Protects PixelRush Studios from uncontrolled cross-border transfers and regulatory risk for EEA Data.
- Requires transparency about each model’s inference region and prevents off-region fallback without PixelRush Studios’ consent.
- Provides audit rights and makes breach a material violation to enable prompt remediation and contractual remedies.

New subsection in Section 10 (Confidentiality) — flow-downs to AI/model vendors

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Flow-down to AI/Model Vendors. Broadlaunch Mobile shall, and shall ensure that any of its Affiliates, contractors, subcontractors, providers and agents (including any third-party AI or model vendors) that process, host, maintain, train on, or otherwise use any PixelRush Studios data, Confidential Information, or Licensed Materials ("Model Vendors") enter into written agreements that impose on such Model Vendors obligations at least as protective as Broadlaunch Mobile's obligations under this Agreement, including without limitation: (a) obligations not to use, copy, modify, create derivatives of, or train models on any PixelRush Studios data, Confidential Information, or Licensed Materials except as expressly authorized in writing by PixelRush Studios; (b) confidentiality obligations and information-security obligations that meet or exceed the security requirements set forth in Section 10 and any Security Schedule; (c) data residency and cross-border transfer restrictions that preserve the residency and transfer limitations applicable to PixelRush Studios data under this Agreement and Applicable Laws; (d) prompt incident-and-breach notification obligations that require Model Vendors to notify Broadlaunch Mobile and PixelRush Studios of any unauthorized access to or disclosure of PixelRush Studios data or Confidential Information within twenty-four (24) hours of discovery and to cooperate in any remediation; (e) audit, verification, and compliance cooperation rights, including allowing PixelRush Studios or an independent auditor engaged by PixelRush Studios to conduct on-site or remote audits and to review relevant books, records, systems, and supporting documentation upon reasonable prior notice and subject to a mutually agreed confidentiality undertaking; and (f) obligations to maintain an up-to-date registry of all Model Vendors, the services they provide, and the categories of PixelRush Studios data they process, and to obtain PixelRush Studios' prior written consent before engaging any new Model Vendor that will process PixelRush Studios data. Broadlaunch Mobile will provide PixelRush Studios with copies of all such Model Vendor agreements upon request and will promptly certify compliance with this Section 10.3 in writing upon PixelRush Studios' request.

WHERE THIS GOES

Flow-down obligations are a permitted-use/confidentiality protection; they belong in Section 10 (Confidentiality) because that section governs confidentiality, permitted handling of data, and related security controls.

RATIONALE

- Closes a material gap: ensures PixelRush Studios' confidentiality, security, residency and no-training requirements bind upstream AI/model vendors.
- Preserves audit, breach-notice, and consent controls so PixelRush Studios can enforce protections across the AI provider chain.
- Reflects the finding that Broadlaunch Mobile currently does not flow down these obligations; this clause fixes that live gap.

New subsection in Section 10 (Confidentiality) — disclosure and controls for foundation-model/sub-processor use

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

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10.6 Foundation models, AI providers and Sub-processors.
(a) Broadlaunch Mobile shall, and shall ensure that any of its Sub-processors that operate or supply foundation models, large-scale AI models, or other third-party AI systems used to provide the Services (collectively, "AI Providers") shall, comply with the requirements of this Section 10 and the security, confidentiality, data residency, and no-training restrictions set forth below.
(b) Disclosure and Approval. Broadlaunch Mobile shall disclose in writing to PixelRush Studios, Inc. (i) the identity, country of domicile, and primary data processing locations of each AI Provider and Sub-processor used to process PixelRush Studios' Confidential Information or Customer Data, and (ii) the material terms of the contractual relationship between Broadlaunch Mobile and such AI Provider that govern data use, retention, and training. Broadlaunch Mobile shall obtain PixelRush Studios' prior written consent before engaging any new or replacement AI Provider or Sub-processor for such processing. PixelRush Studios' approval shall not be unreasonably withheld, delayed, or conditioned, but may be withheld for any reasonable data-protection, confidentiality, security, data-residency, or no-training concern.
(c) No-training; Use Limits. Broadlaunch Mobile shall ensure that AI Providers are contractually prohibited from using, ingesting, or otherwise incorporating into model training or improvement any PixelRush Studios' Confidential Information, Customer Data, or other PixelRush Studios' data without PixelRush Studios' prior express written consent. AI Providers shall use PixelRush Studios' data only to provide the Services and not for any other purpose, including model development, benchmarking, or service improvement absent PixelRush Studios' prior written consent.
(d) Data Residency and Access Controls. Broadlaunch Mobile shall ensure that all processing of PixelRush Studios' Confidential Information and Customer Data by AI Providers occurs only in the countries disclosed to and approved by PixelRush Studios, and shall implement contractual and technical access controls to prevent transfer or routing of such data to non-approved jurisdictions.
(e) Security and breach notification. Broadlaunch Mobile shall ensure AI Providers implement and maintain administrative, physical and technical safeguards no less protective than those Broadlaunch Mobile applies to its own systems and as required by industry standard frameworks (e.g., ISO 27001, SOC 2 Type II). Broadlaunch Mobile shall require AI Providers to notify PixelRush Studios without undue delay and in any event within seventy-two (72) hours of becoming aware of any security incident or unauthorized access affecting PixelRush Studios' Confidential Information or Customer Data.
(f) Flow-down and liability. Broadlaunch Mobile shall contractually bind each AI Provider and Sub-processor to obligations no less protective than those set forth in this Agreement (including confidentiality, no-training, data residency, security, and breach notification obligations) and shall remain fully liable to PixelRush Studios for the acts and omissions of any Sub-processor or AI Provider.
(g) Change control and opt-out. Broadlaunch Mobile shall provide PixelRush Studios at least thirty (30) days' prior written notice of any proposed material change to the identity, location, or material terms of any AI Provider or Sub-processor. If PixelRush Studios reasonably objects to the proposed change within such notice period, Broadlaunch Mobile shall not implement the change until it obtains PixelRush Studios' written

consent; if the parties cannot agree, PixelRush Studios may require Broadlaunch Mobile to cease processing its data with the objected-to AI Provider and, if Broadlaunch Mobile cannot reasonably accommodate that direction, PixelRush Studios may suspend or terminate the Services without penalty and receive a pro rata refund of prepaid fees for the affected Services.
(h) EU law compliance. To the extent processing involves Personal Data of data subjects in the European Economic Area, Broadlaunch Mobile shall ensure that it and each AI Provider comply with applicable EU data-protection law, including GDPR Article 28(2) and any required prior authorizations for sub-processors, and shall provide PixelRush Studios with copies of any approvals, DPIAs, or transfer-impact assessments relied upon to permit such processing.
(i) Audit rights. At PixelRush Studios' request and upon reasonable notice, Broadlaunch Mobile shall (or shall cause the AI Provider to) provide documentation sufficient to demonstrate compliance with this Section 10.6, including copies of relevant sub-processor contracts, SOC/ISO reports, DPIAs, and geographic data-flow documentation; where necessary for verification only, Broadlaunch Mobile shall procure the right for PixelRush Studios to conduct an on-site audit of the AI Provider under reasonable confidentiality protections.

RATIONALE

- Locks Broadlaunch Mobile to disclosure, prior consent, and no-training restrictions over upstream AI Providers to protect PixelRush Studios' IP and data.
- Ensures data-residency, security, and breach notification obligations flow down and keeps Broadlaunch Mobile liable for sub-processor conduct.
- Provides change control and an opt-out remedy (suspension/termination + pro rata refund) if undisclosed or unacceptable AI Providers are introduced.

New subsection in Section 10 (Confidentiality) — AB 2013 (training-data) compliance & indemnity

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

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10.1 AB 2013 Training-Data Transparency; Generative AI.
(a) Broadlaunch Mobile will not introduce, offer to California end users, or substantially modify any Generative Artificial Intelligence system, model, or feature that is integrated with, accessed through, or materially used by the Mobile Application (each a "Generative AI Feature") unless and until Broadlaunch Mobile has fully complied with all applicable obligations under California AB 2013 (Cal. Bus. & Prof. Code §§ 22757–22757.5) and any successor statutes or regulations ("AB 2013 Obligations"). Compliance includes, at a minimum, preparing, publishing, and maintaining any required public training-data summary in the form, content, timing, and location required by AB 2013, and providing PixelRush Studios, Inc. with a copy of the posted summary and all supporting documentation at least thirty (30) days prior to making the Generative AI Feature available to any California resident.
(b) Broadlaunch Mobile shall bear sole responsibility, cost, and liability for complying with AB 2013 Obligations in connection with any Generative AI Feature, including any regulatory fines, penalties, or

third-party claims arising from Broadlaunch Mobile's development, modification, deployment, or operation of such Generative AI Feature. Broadlaunch Mobile will indemnify, defend, and hold harmless PixelRush Studios, Inc., its officers, directors, employees, agents, and affiliates from and against any and all claims, losses, damages, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to Broadlaunch Mobile's failure to comply with AB 2013 Obligations or any representation, warranty, or covenant in this Section 10.1.

(c) PixelRush Studios, Inc. must provide prior written consent before Broadlaunch Mobile may make any Generative AI Feature available to California residents; such consent will not be unreasonably withheld, conditioned or delayed but may be withheld in PixelRush Studios, Inc.'s sole discretion if the proposed Generative AI Feature or supporting materials do not demonstrate full AB 2013 compliance. Broadlaunch Mobile will provide PixelRush Studios, Inc. with reasonable evidence of compliance upon request.

(d) Broadlaunch Mobile will require that any sublicensee, distributor, or other third party to whom it makes the Generative AI Feature available (a "Sub-Provider") comply with and be bound by the obligations in this Section 10.1, and Broadlaunch Mobile shall remain fully responsible for Sub-Providers' compliance. Broadlaunch Mobile shall flow down the indemnity, notice, and suspension/termination rights set forth in this Section 10.1 to all Sub-Providers.

(e) If Broadlaunch Mobile fails to comply with any AB 2013 Obligations, PixelRush Studios, Inc. may (i) require Broadlaunch Mobile, at Broadlaunch Mobile's sole cost, to immediately remedy the non-compliance; (ii) suspend, disable, or block the applicable Generative AI Feature or any access thereto until Broadlaunch Mobile cures the non-compliance to PixelRush Studios, Inc.'s reasonable satisfaction; and (iii) terminate this Agreement for cause if Broadlaunch Mobile does not cure such non-compliance within fifteen (15) days after receipt of written notice. These remedies are cumulative and in addition to any other right or remedy available to PixelRush Studios, Inc. at law or in equity.

(f) For purposes of this Section 10.1, "Generative Artificial Intelligence" or "Generative AI" means any system, model, or feature capable of producing text, images, audio, code, or other content in response to prompts or data inputs, including systems that have been trained, fine-tuned, or otherwise adapted on additional data after initial training.

(g) The obligations and remedies in this Section 10.1 survive termination or expiration of this Agreement with respect to any Generative AI Feature introduced during the Term.

WHERE THIS GOES

AB 2013 training-data transparency obligations and AI use restrictions are a permitted-use / confidentiality risk, so this fits in Section 10 (Confidentiality).

RATIONALE

Include if the Mobile Application will be available to California residents and/or Broadlaunch Mobile will develop or fine-tune generative models for the App; otherwise the AB 2013 duties are unnecessary.

- Shifts AB 2013 compliance costs, regulatory risk, and indemnity to Broadlaunch Mobile and gives PixelRush Studios, Inc. prior-consent and suspension/termination rights for non-compliance.
- Requires flow-down to sublicensees and survival to protect PixelRush Studios, Inc. after termination.

AUTHORITY

- California AB 2013 (2024), codified at Cal. Bus. & Prof. Code §§ 22757–22757.5 (eff. Jan 1, 2026).

New subsection in Section 10 (Confidentiality) — ADMT / CCPA CPPA compliance

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.x Automated Decisionmaking Technology (ADMT) and California CPPA Compliance.
(a) Broadlaunch Mobile will not, in connection with the Mobile Application, deploy Automated Decisionmaking Technology (ADMT) as defined under California law to make 'significant decisions' about California residents, perform extensive profiling of California residents, use personal information of California residents to train or develop models, or operate public-surveillance ADMT, unless Broadlaunch Mobile has first complied in full with all applicable California laws and regulations governing ADMT (including, without limitation, pre-use notices, meaningful access and opt-out mechanisms, risk assessments, cybersecurity audits, recordkeeping, and any other obligations under the California Consumer Privacy Act and the California Privacy Protection Agency's ADMT and Risk Assessment regulations).
(b) If Broadlaunch Mobile intends to deploy any ADMT covered by subsection (a), Broadlaunch Mobile shall: (i) prepare and furnish to PixelRush Studios, Inc., prior to deployment, a documented risk assessment, a copy of any pre-use notices to be provided to affected California residents, and evidence of any cybersecurity audit required under applicable California regulations; (ii) promptly notify PixelRush Studios, Inc. in writing at least thirty (30) days before deployment to allow PixelRush Studios, Inc. to review and reasonably comment; and (iii) promptly provide any additional documentation PixelRush Studios, Inc. reasonably requests to demonstrate compliance.
(c) Broadlaunch Mobile shall bear all costs, fines, penalties, liabilities, and expenses (including reasonable attorneys' fees and costs) arising from Broadlaunch Mobile's failure to comply with the obligations in this Section 10.x, and shall indemnify, defend, and hold harmless PixelRush Studios, Inc., its officers, directors, employees and agents from and against any third-party claims, governmental investigations, enforcement actions, fines, penalties, or other liabilities arising out of or relating to Broadlaunch Mobile's ADMT deployment or use in breach of this Section 10.x.
(d) PixelRush Studios, Inc. may, immediately and without prior notice, suspend or require Broadlaunch Mobile to suspend any ADMT deployment that PixelRush Studios, Inc. reasonably believes is non-compliant with applicable California ADMT laws or that poses an immediate legal or reputational risk to PixelRush Studios, Inc.; Broadlaunch Mobile shall promptly comply with any suspension request and shall cooperate in any remediation.
(e) The rights and obligations in this Section 10.x are in addition to, and not in limitation of, any other rights or remedies available to PixelRush Studios, Inc. under this Agreement or at law or in equity.

WHERE THIS GOES

ADMT compliance and data-use restrictions are a permitted-use / confidentiality topic, so this fits in Section 10 (Confidentiality).

RATIONALE

> Include if Broadlaunch Mobile will deploy ADMT affecting Californians (significant decisions, profiling, training AI on personal information, or public surveillance) — the contract must then impose ADMT compliance, documentation, and indemnity obligations.

- Ensures Broadlaunch Mobile performs and documents CPPA risk assessments, pre-use notices, and audits so PixelRush can verify compliance and manage regulatory exposure.
- Allocates all ADMT compliance costs and gives PixelRush suspension and indemnity protections to limit legal and reputational risk.

AUTHORITY

- CCPA § 1798.185(a)(15)–(16); CPPA ADMT Regulations (final adoption 2025, staggered effective dates); CPPA Risk Assessment Regulations.

New subsection in Section 10 (Confidentiality) — California AI Transparency Act compliance

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.X California AI Transparency Act (CAITA) Compliance.
(a) Broadlaunch Mobile represents and warrants that it will comply with the California AI Transparency Act (Cal. Bus. & Prof. Code §§ 22757 et seq., as amended) and any successor laws or regulations concerning labeling, provenance, watermarking, detection, disclosure, and related obligations for synthetic image, audio, or video content ("CAITA Obligations") in any jurisdiction where such obligations apply, including but not limited to the State of California.
(b) For any Synthetic Media (defined as image, audio, or video content that is wholly or partially generated, manipulated, or transformed by artificial intelligence or other generative technologies) that is produced, distributed, sublicensed, published, or otherwise made available to the public by or through Broadlaunch Mobile or its Distribution Channels, Broadlaunch Mobile shall:
(i) apply visible labels and embed provenance or watermarking consistent with CAITA and recognized technical standards (including C2PA or equivalent) so the content is reasonably identifiable as Synthetic Media; and
(ii) provide and maintain, at Broadlaunch Mobile's expense, tools, interfaces, or documentation reasonably necessary for PixelRush Studios, Inc. and downstream recipients to detect, verify, or access provenance and watermarking metadata for such Synthetic Media; and
(iii) prohibit any Distribution Channel, sublicensee, or third party receiving Licensed Materials from disabling, removing, or obscuring CAITA-required disclosures, labels, provenance, or watermarking; and
(iv) include in any agreement with Distribution Channels or sublicensees terms that flow down Broadlaunch Mobile's CAITA Obligations and that permit PixelRush Studios, Inc. to terminate or suspend distribution in the event of a material breach of those obligations.
(c) Broadlaunch Mobile shall, prior to enabling any feature of the Mobile Application that generates or distributes Synthetic Media to the public in California, obtain PixelRush Studios, Inc.'s prior written consent,

which PixelRush Studios, Inc. may withhold in its sole discretion.
(d) Broadlaunch Mobile shall defend, indemnify, and hold harmless PixelRush Studios, Inc., its officers, directors, employees, agents, and affiliates from and against any and all claims, losses, liabilities, damages, fines, penalties (including statutory civil penalties), costs, and expenses (including reasonable attorneys' fees) arising out of or resulting from Broadlaunch Mobile's breach of this Section 10.X or failure to comply with CAITA Obligations.
(e) The rights and remedies in this Section 10.X are cumulative and in addition to any other rights and remedies available at law or equity, including termination for material breach under Section 9 (Assignment) and any specified termination rights elsewhere in this Agreement.
(f) For purposes of this Section 10.X, "Distribution Channels" means any app stores, marketplaces, aggregators, resellers, or other third-party distribution or hosting channels used by Broadlaunch Mobile to make the Mobile Application or Synthetic Media available to the public.
(g) The obligations in this Section 10.X survive termination or expiration of this Agreement for a period of three (3) years, except that the indemnity in subsection (d) survives in full until finally resolved.

WHERE THIS GOES

CAITA compliance is a use/restriction and provenance/watermarking obligation tied to permitted uses and disclosures, so it belongs in Section 10 (Confidentiality).

RATIONALE

Include if the Mobile Application will generate or distribute synthetic image/video/audio content to the public in California at a scale that could trigger CAITA coverage; otherwise the CAITA-specific controls and indemnity are unnecessary.

- Allocates CAITA compliance duties and technical labeling/provenance obligations to Broadlaunch Mobile to protect PixelRush Studios, Inc. from regulatory risk.
- Requires flow-down to Distribution Channels and an indemnity to ensure PixelRush Studios, Inc. can recover for CAITA-related liabilities.

AUTHORITY

- California SB 942 (2024), codified at Cal. Bus. & Prof. Code §§ 22757 et seq. (California AI Transparency Act), as amended by AB 853 (2025) — operative Aug 2, 2026; civil penalties of $5,000 per violation.

New subsection in Section 10 (Confidentiality) — Colorado AI Act (ADAI) compliance and indemnity

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Colorado AI Act compliance and indemnity.
(a) Definitions. For purposes of this Section 10.3, "ADAI" means Colorado SB 24-205, codified at C.R.S. § 6-1-1701 et seq., as amended by SB 25B-004 (eff. June 30, 2026), and any implementing rules or guidance issued by the Colorado Attorney General or other Colorado authority; "Consequential Decision" means an automated or semi-automated decision that has a legal or similarly significant effect on a Colorado resident.
(b) Broadlaunch Mobile obligations. Broadlaunch Mobile will not use AI systems in connection with the Mobile Application to make Consequential Decisions about Colorado residents unless Broadlaunch Mobile (i) performs and documents a risk assessment and impact assessment meeting ADAI requirements prior to deployment and thereafter as required by applicable law, (ii) implements and documents the reasonable-care risk mitigation measures required by the ADAI, (iii) provides all notices, consumer-facing disclosures, and meaningful appeal and correction processes required by the ADAI to affected Colorado residents, (iv) maintains records and logs necessary to demonstrate ADAI compliance for the statutory retention period, and (v) provides PixelRush Studios, Inc. with reasonable cooperation, access to records, and audit rights (including third-party auditors) solely for the purpose of verifying Broadlaunch Mobile's compliance with this Section 10.3.
(c) IP and use restrictions. Broadlaunch Mobile will not use PixelRush Studios, Inc.'s code, models, derivatives, or any part of the Mobile Application to train, fine-tune, or improve any generative AI models that will be used to make Consequential Decisions about Colorado residents without PixelRush Studios, Inc.'s prior written consent.
(d) Indemnity. Broadlaunch Mobile shall indemnify, defend and hold harmless PixelRush Studios, Inc., its officers, directors, employees and agents from and against any and all Losses arising out of or resulting from Broadlaunch Mobile's failure to comply with this Section 10.3 or Broadlaunch Mobile's use of AI in connection with the Mobile Application to make Consequential Decisions about Colorado residents, including any claims, fines, penalties, remediation costs, or investigative costs imposed by any government authority under the ADAI.
(e) Suspension and termination. If PixelRush reasonably believes Broadlaunch Mobile has failed to comply with this Section 10.3 in a manner that creates a material legal or regulatory risk to PixelRush, PixelRush may require Broadlaunch Mobile to suspend the applicable AI functionality immediately; if Broadlaunch Mobile fails to promptly remediate the non-compliance, PixelRush may disable such functionality or terminate this Agreement for material breach.
(f) Survival. The obligations and indemnities in this Section 10.3 survive termination or expiration of this Agreement for a period of three (3) years.

WHERE THIS GOES

ADAI obligations are a permitted-use / confidentiality-type compliance requirement, so this fits in Section 10 (Confidentiality).

RATIONALE

Include if the Mobile Application will make consequential decisions about Colorado residents — ADAI duties then apply and PixelRush needs contractually assigned compliance and indemnity protections.

- Locks in Broadlaunch Mobile's commitment to ADAI risk assessments, notices, recordkeeping, and audit cooperation to protect PixelRush from regulatory exposure.

- Gives PixelRush operational remedies (suspension/termination) and an indemnity for ADAI-related losses.

AUTHORITY

- Colorado SB 24-205, codified at C.R.S. § 6-1-1701 et seq., as amended by SB 25B-004 (eff. June 30, 2026); Colorado AG rulemaking pending (see coag.gov/ai).

New subsection in Section 10 (Confidentiality) — EU AI Act (GPAI) flow-downs and indemnity

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.__ EU AI Act (GPAI) compliance and flow-downs.
10.__.1 Broadlaunch Mobile represents and warrants that, prior to making the Mobile Application available to any user in the European Union, it will disclose to PixelRush Studios, Inc. in writing whether the Mobile Application uses, integrates, provides access to, or is otherwise based on any General-Purpose AI model ("GPAI").
10.__.2 If Broadlaunch Mobile uses or provides any GPAI to users in the European Union, Broadlaunch Mobile further warrants that, and shall ensure that its upstream GPAI providers and any sublicensees:
(a) comply with the applicable obligations under Regulation (EU) 2024/1689, Arts. 53–55, and any implementing acts, guidance, or codes of practice (including but not limited to the Commission Guidelines on the scope of GPAI obligations (July 18, 2025) and the GPAI Code of Practice (approved Aug 1, 2025));
(b) provide to PixelRush Studios, Inc., on reasonable request, all technical documentation, copyright policies, training-data summaries, and other materials necessary to demonstrate compliance with Arts. 53–55; and
(c) have provided any notifications to the EU AI Office or other competent authorities required by Regulation (EU) 2024/1689.
10.__.3 Broadlaunch Mobile shall bear all costs, liabilities, fines, penalties, and expenses (including reasonable attorneys' fees and costs of defense) arising from any failure of Broadlaunch Mobile, its upstream GPAI providers, or its sublicensees to comply with Regulation (EU) 2024/1689, Arts. 53–55, or related guidance or codes of practice, and shall indemnify, defend, and hold harmless PixelRush Studios, Inc. from and against any Third-Party Claims, regulatory enforcement actions, or losses arising out of such non-compliance.
10.__.4 Broadlaunch Mobile shall flow down the obligations in this Section 10.__ to all sublicensees and upstream GPAI providers under agreements that grant such parties the right to operate, distribute, or make available the Mobile Application in the European Union; PixelRush Studios, Inc. may request copies of such flow-down agreements and Broadlaunch Mobile shall provide them on reasonable request.
10.__.5 If Broadlaunch Mobile breaches any warranty or obligation in this Section 10.__, PixelRush Studios, Inc. may suspend or terminate any distribution, licensing, or other agreement with immediate effect with respect to the Mobile Application's availability in the European Union, in addition to any other remedies available at law or in equity.
10.__.6 For the avoidance of doubt, nothing in this Section 10.__ limits Broadlaunch Mobile's obligation to

comply with all other applicable laws and regulations in the territories where the Mobile Application is made available.

WHERE THIS GOES

GPAI disclosure, warranties, documentation, and indemnity provisions are permitted-use / confidentiality adjacent obligations, so they fit in Section 10 (Confidentiality).

RATIONALE

Include if the Mobile Application will NOT avoid using or providing any GPAI model to users in the European Union — these provisions are needed only if GPAI will be used/supplied in the EU.

- Memorializes Broadlaunch Mobile's obligation to disclose GPAI use and to obtain compliance and documentation from upstream providers under Arts. 53–55.
- Assigns compliance costs and creates an indemnity plus suspension/termination remedy to protect PixelRush Studios, Inc. from EU AI Act exposure.

New subsection in Section 10 (Confidentiality) — EU AI Act compliance and prohibited AI uses

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.__ EU AI Act compliance and prohibited AI uses.
(a) Definitions. For purposes of this Section 10.__, "EU AI Act" means Regulation (EU) 2024/1689 and implementing guidance; "High-Risk System" and "Provider/Deployer/Distributor" have the meanings given in the EU AI Act and related guidance.
(b) Prohibited Practices. Broadlaunch Mobile shall not develop, distribute, enable or otherwise make available through the Mobile Application any AI practice or functionality prohibited by Article 5 of the EU AI Act or by the European Commission's guidance on Article 5, including but not limited to manipulative subliminal techniques, biometric categorisation of sensitive traits, or other prohibited use-cases in EEA member states.
(c) High-Risk Systems and Regulatory Duties. If any feature of the Mobile Application is or becomes a High-Risk System under the EU AI Act, Broadlaunch Mobile shall, at its sole cost and expense, fulfil all provider/deployer obligations under the EU AI Act (including but not limited to conformity assessment, registration, risk-management system, data governance and documentation, post-market monitoring, human oversight measures, technical documentation, and supervisory cooperation) prior to offering such feature in the EU.
(d) Transparency for Synthetic Content and Conversational Agents. Where the Mobile Application uses generative AI, creates synthetic content, or operates conversational agents affecting EU users, Broadlaunch Mobile shall comply with Article 50 and related transparency requirements (including clear, unambiguous disclosure to end users that content is synthetic or that an AI is being used), and shall provide PixelRush Studios, Inc. with sample disclosures for prior written approval.

(e) Role allocation; indemnity. Broadlaunch Mobile represents and warrants that it will act as the EU "Provider" and/or "Deployer" (as applicable) for any AI features offered to EU users and shall bear all legal and regulatory obligations, liabilities, fines, penalties, and costs arising from EU AI Act non-compliance; Broadlaunch Mobile shall indemnify, defend and hold harmless PixelRush Studios, Inc. and its officers, directors, employees, and affiliates from any third-party claims, losses, liabilities, fines, penalties, or costs (including reasonable attorneys' fees and remediation costs) arising out of Broadlaunch Mobile's failure to comply with the EU AI Act or related obligations under this Section 10.__.
(f) Documentation sharing and audit. Upon PixelRush Studios, Inc.'s reasonable request, Broadlaunch Mobile shall promptly provide copies of all documentation, conformity assessments, registrations, risk assessments, mitigation measures, and post-market monitoring reports relevant to any AI features in scope; PixelRush Studios, Inc. shall have the right to audit Broadlaunch Mobile's compliance with this Section 10.__ upon reasonable prior notice and during normal business hours; Broadlaunch Mobile shall remediate any non-compliance identified within a commercially reasonable time at Broadlaunch Mobile's cost.
(g) Prior approval for EU launch. Broadlaunch Mobile shall not make any AI features available to users in the European Union unless PixelRush Studios, Inc. has provided prior written approval, such approval not to be unreasonably withheld where Broadlaunch Mobile demonstrates full compliance with the EU AI Act obligations set out in this Section 10.__.
(h) Survival. The obligations in this Section 10.__ shall survive termination or expiration of this Agreement for three (3) years.
(i) Reservation. Nothing in this Section 10.__ limits any other rights or remedies of PixelRush Studios, Inc. under this Agreement or at law or in equity, including injunctive relief.

WHERE THIS GOES

EU AI Act compliance and prohibited-use rules are operational confidentiality/usage controls, so they fit as a new subsection in Section 10 (Confidentiality).

RATIONALE

Include if the Mobile Application will make any AI features available to users in the European Union — otherwise EU AI Act obligations are out of scope.

- Protects PixelRush Studios, Inc. by shifting EU AI Act provider/deployer duties, costs and liabilities to Broadlaunch Mobile.
- Ensures PixelRush Studios, Inc. can verify compliance via documentation and audits before EU launch.

New subsection in Section 10 (Confidentiality) — automated decision safeguards (GDPR Art.22)

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

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10.X Automated decision-making and data subject safeguards.
(a) Broadlaunch Mobile will not deploy, enable, or rely upon any system, feature, update, configuration or other functionality of the Mobile Application that makes automated decisions which produce legal effects or similarly significant effects on data subjects in the European Economic Area, the United Kingdom, or Switzerland (each an "EU Jurisdiction") without first implementing and maintaining, at Broadlaunch Mobile's sole cost and expense, all safeguards required by Article 22 of Regulation (EU) 2016/679 (GDPR) and any applicable local implementing law and guidance, including, without limitation: meaningful information about the logic involved; the significance and envisaged consequences of the processing for the data subject; the right to obtain human intervention; the right to express the data subject's point of view; and the right to contest the decision. Broadlaunch Mobile shall promptly provide PixelRush Studios, Inc. with all documentation, records, model descriptions, decision-logic explanations, and any other information reasonably required by PixelRush Studios, Inc. to evaluate compliance with this subsection and to respond to data subject requests and regulatory inquiries.
(b) Broadlaunch Mobile shall be solely responsible for any liability, fines, penalties, costs, damages and expenses (including reasonable attorneys' fees and costs of regulatory investigations) arising from any failure to comply with the obligations in this subsection or with Article 22 or equivalent national law in any EU Jurisdiction. Broadlaunch Mobile shall indemnify, defend and hold harmless PixelRush Studios, Inc. and its officers, directors, employees and agents from and against any and all losses, liabilities, damages, costs and expenses arising out of or in connection with such non-compliance.
(c) If PixelRush Studios, Inc. reasonably suspects that Broadlaunch Mobile has deployed or is deploying automated decision-making that may produce legal or similarly significant effects in any EU Jurisdiction without the safeguards required by this subsection, PixelRush Studios, Inc. may require Broadlaunch Mobile to suspend the relevant functionality immediately. If Broadlaunch Mobile does not promptly and diligently remediate the non-compliance to PixelRush Studios, Inc.'s reasonable satisfaction within ten (10) days of suspension, PixelRush Studios, Inc. may, in addition to any other rights or remedies, permanently disable the relevant functionality or terminate this Agreement for cause with respect to the functionality or territory affected.
(d) Broadlaunch Mobile will cooperate and provide reasonable assistance to PixelRush Studios, Inc., at Broadlaunch Mobile's sole cost, in responding to any data subject request, regulator inquiry, audit or investigation relating to automated decision-making under Article 22, including by supplying copies of logs, model descriptions, and decision explanations when permitted to do so by applicable law.
(e) For purposes of this subsection, "automated decision" and "meaningful information about the logic" shall be interpreted consistently with Regulation (EU) 2016/679 (GDPR), Article 22 and the EDPB Guidelines 03/2022 on automated decision-making and profiling for the purposes of decision-making under the GDPR.

WHERE THIS GOES

Automated decision safeguards concern permitted use and data subject protections, so this fits in Section 10 (Confidentiality).

RATIONALE

Include if Will the Mobile Application avoid automated decisions that produce legal or similarly significant effects on EU data subjects? — this clause is only required if such automated decisions may be made.

- Locks Broadlaunch Mobile to Article 22 safeguards and requires cooperation/documentation so PixelRush Studios, Inc. can respond to DSARs and regulators.
- Shifts all liability, costs, indemnity and immediate suspension/termination rights to Broadlaunch Mobile to protect PixelRush Studios, Inc.'s exposure in EU Jurisdictions.

New subsection in Section 10 (Confidentiality) — AEDT compliance for NYC hiring/ promotion decisions

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

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10.X AEDT compliance for NYC employment decisions.
If Broadlaunch Mobile uses an automated employment decision tool ("AEDT") in connection with hiring, promotion, reassignment, discipline, discharge, or other employment decisions for roles providing services under this Agreement that affect candidates or employees located in New York City, Broadlaunch Mobile shall:
(a) comply with all applicable requirements of NYC Local Law 144 (NYC Admin. Code § 20-870 et seq.) and implementing rules (including 6 RCNY § 5-300 et seq.), including but not limited to completing and publishing an annual independent bias audit of the AEDT; providing required notices, candidate disclosures, and information about opt-out and alternative selection processes; and maintaining all records required by such law and rules for the statutory period;
(b) promptly provide PixelRush Studios, Inc. with, upon request, reasonable written evidence of compliance with subsection (a), including a copy of the most recent independent bias audit and copies of any notices or disclosures provided to affected persons; and
(c) indemnify, defend and hold harmless PixelRush Studios, Inc., its officers, directors and employees from and against any losses, liabilities, claims, damages, fines, penalties, costs and expenses (including reasonable attorneys' fees) arising out of or resulting from Broadlaunch Mobile's failure to comply with its obligations under this Section 10.X or applicable AEDT laws and regulations to the extent such failure relates to the Subject Services.
The remedies and indemnities in this Section 10.X are cumulative and not exclusive of any other remedies available at law or in equity. Broadlaunch Mobile's obligations under this Section 10.X shall survive termination or expiration of this Agreement for a period of three (3) years.

WHERE THIS GOES

AEDT compliance and permitted-use restrictions are a confidentiality / policy control and therefore belong in Section 10 (Confidentiality).

RATIONALE

Include if the Provider will not avoid using AEDTs for hiring/promotion decisions affecting NYC candidates or employees — this clause then allocates compliance and risk to Broadlaunch Mobile.

- Protects PixelRush by requiring audits, notices, record retention, proof on request, and an indemnity for violations and enforcement penalties.
- Keeps obligations narrowly tied to AEDT use "in connection with" services under this Agreement and limits survival to three years.

New subsection in Section 10 (Confidentiality) — TRAIGA compliance, prohibited AI uses, governance, notice, indemnity and suspension

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INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.x Texas AI Regulation Compliance and Prohibited Uses.
(a) Broadlaunch Mobile represents and warrants that it will not, and will ensure that its Affiliates and sublicensees do not, develop, train, fine-tune, use, deploy, or distribute any Artificial Intelligence features, models, or outputs ("AI Functionality") in a manner intended to: (i) cause, incite, or substantially contribute to physical injury, death, or significant property damage; (ii) unlawfully discriminate on the basis of a protected characteristic; (iii) generate, produce, or disseminate child sexual abuse material, deepfake sexual content, or other illegal sexually explicit content involving minors; (iv) create or use deepfakes, synthetic media, or other generated content designed to deceive that is intended to influence voting, election outcomes, or civic processes; or (v) violate the Texas Responsible Artificial Intelligence Governance Act (Tex. Bus. & Com. Code Ch. 551 et seq.) or other applicable law prohibiting specific harmful AI uses.
(b) Governance and Testing. Broadlaunch Mobile shall maintain, for any AI Functionality developed, used, or deployed by Broadlaunch Mobile that is developed, deployed, or used in Texas or by Texas residents, a governance program aligned with the NIST AI Risk Management Framework (or an equivalent risk-management framework acceptable to PixelRush Studios, Inc.), including documented policies, risk assessments, model documentation, and periodic adversarial and robustness testing appropriate to the risk level of the AI Functionality.
(c) Notice and Cooperation. Broadlaunch Mobile shall promptly notify PixelRush Studios, Inc. in writing (within 48 hours) upon becoming aware of any actual or reasonably suspected violation of subsection (a) or material failure to maintain the governance program in subsection (b), and shall cooperate with PixelRush Studios, Inc. in any mitigation, investigation, remediation, regulatory response, or notice to affected individuals or authorities.
(d) Indemnity. Broadlaunch Mobile shall indemnify, defend and hold harmless PixelRush Studios, Inc., its officers, directors, employees and agents from and against any Losses arising out of or related to Broadlaunch Mobile's breach of subsections (a), (b), or (c), including any regulatory fines, penalties, claims, or third-party suits brought under the Texas Responsible Artificial Intelligence Governance Act or other applicable law.
(e) Suspension and Termination for Non-Compliance. If PixelRush Studios, Inc. reasonably determines that Broadlaunch Mobile or its sublicensees are using or have used AI Functionality in breach of subsection (a) or have materially failed to maintain the governance program in subsection (b), PixelRush Studios, Inc. may immediately suspend distribution of the Mobile Application in the impacted jurisdiction(s) and/or terminate this Agreement for material breach upon written notice to Broadlaunch Mobile.
(f) Flow-Down. Broadlaunch Mobile shall include provisions with substantially the same scope and effect as

subsections (a)–(e) in any agreement with Affiliates and sublicensees that develop, use, deploy, or distribute AI Functionality in connection with the Mobile Application.
(g) Remedies Cumulative. The rights and remedies set forth in this Section 10.x are cumulative and in addition to any other rights or remedies available to PixelRush Studios, Inc. under this Agreement or at law or in equity.

WHERE THIS GOES

TRAIGA prohibited uses and governance are privacy/safe-use controls tied to data handling and permitted use, so this fits in Section 10 (Confidentiality).

RATIONALE

Include if the Mobile Application will be developed, deployed, or used in Texas or by Texas residents — TRAIGA protections are then required to allocate risk and ensure compliance.

- Closes regulatory exposure by imposing prohibited-use reps, NIST-aligned governance, incident notice, indemnity, suspension/termination, and flow-downs.
- Creates contractual leverage to require Broadlaunch Mobile to maintain defenses and to bear regulatory and third-party costs for TRAIGA breaches.

New subsection in Section 10 (Confidentiality) — data, analytics and AI-training restriction

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Data, Usage and AI-Training Restrictions.
(a) Definitions. For purposes of this Section 10.3: (i) "Customer Data" means all data, content, information and materials provided or made available to Broadlaunch Mobile by PixelRush Studios in connection with the Mobile Application and the Services, including gameplay data, player accounts, in-game content, telemetry, analytics, and any Personal Data; (ii) "Usage/Derived Data" means data and information derived or generated by Broadlaunch Mobile through its operation, monitoring or analysis of the Mobile Application or Services, including telemetry, diagnostics, event logs, gameplay metrics, performance data, analytics, aggregated metrics, assessments, models, algorithms, features, or other data derived from or based on Customer Data; and (iii) "Aggregated/Anonymized Data" means data and information that has been processed to remove Personal Data and cannot reasonably be re-identified.
(b) Data use limitation. Broadlaunch Mobile may only use Customer Data and Usage/Derived Data to provide, operate, maintain and improve the Mobile Application and Services for the benefit of PixelRush Studios and to comply with its obligations under this Agreement. Broadlaunch Mobile shall not use, disclose, publish, transfer, sell, license, rent, syndicate or otherwise exploit Customer Data, Usage/Derived Data or Aggregated/Anonymized Data for any purpose other than providing the Mobile Application and Services for PixelRush Studios, except with PixelRush Studios' prior express written opt-in.

(c) AI/ML training prohibition. Under no circumstances may Broadlaunch Mobile use Customer Data, Usage/Derived Data, or Aggregated/Anonymized Data to train, fine-tune, evaluate, benchmark, or otherwise improve any machine learning, artificial intelligence, recommendation, ranking, generative, or similar models or services ("Models"), or permit any third party (including its subcontractors or analytics providers) to do so, without PixelRush Studios' prior express written opt-in that explicitly authorizes such activity and specifies scope, duration and permitted recipients.
(d) Limited analytics exception. Broadlaunch Mobile may process telemetry, diagnostics and analytics data solely to operate, monitor, secure, and improve the Mobile Application and Services for PixelRush Studios and to meet legal and security obligations; such processing must not include cross-product use, incorporation into Models, or disclosure to unaffiliated third parties for analytics purposes without PixelRush Studios' prior written consent.
(e) Subprocessor and flow-down. Broadlaunch Mobile shall ensure that any subcontractor, service provider or analytics vendor that receives Customer Data, Usage/Derived Data, or Aggregated/Anonymized Data is contractually bound by obligations substantially the same as in this Section 10.3, and Broadlaunch Mobile remains fully liable for any breach by such parties.
(f) Audit and compliance. Upon PixelRush Studios' reasonable written request, Broadlaunch Mobile shall (at PixelRush Studios' expense if requested more than once per 12-month period) provide written certification and reasonable evidence of compliance with this Section 10.3 and permit PixelRush Studios to engage an independent, mutually-acceptable auditor to verify compliance, subject to reasonable confidentiality protections.
(g) Remedies. The parties acknowledge that breach of this Section 10.3 would cause irreparable harm to PixelRush Studios for which monetary damages are inadequate; accordingly, PixelRush Studios shall be entitled to seek injunctive relief and any other remedies available at law or in equity in the event of a breach.

WHERE THIS GOES

Data/analytics/AI-training prohibitions are confidentiality and data-use restrictions, so this fits in Section 10 (Confidentiality).

RATIONALE

- Silence on derived/usage/analytics data lets Broadlaunch Mobile train models with PixelRush Studios' gameplay and user data; this locks a clear prohibition in place.
- Requires definitions and an express AI/ML training ban, limits analytics to operating the app, forbids cross-product/model use, and forces flow-downs to subprocessors.
- Audit and injunctive remedy preserve enforcement options and make compliance verifiable.

New subsection in Section 10 (Confidentiality) — prohibit AI/ML training and survival

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Prohibition on AI/ML Training and Data Retention.
(a) Broadlaunch Mobile and its agents, contractors and subprocessors shall not, during the Term and at any time thereafter, use, copy, access, process, or permit access to or use of any Licensor content, Licensor Title-related data, end-user data, telemetry, prompts, outputs, or any data derived or aggregated therefrom (collectively, "Licensor Data") to train, fine-tune, evaluate, benchmark, or improve any artificial intelligence, machine learning, or statistical models, systems, or services ("AI/ML Systems").
(b) Broadlaunch Mobile shall promptly, and in any event within thirty (30) days after termination or expiration of this Agreement (or within thirty (30) days of written request by PixelRush Studios, Inc.), permanently delete or irreversibly purge from all active systems and from all backups and archives all Licensor Data in its possession or control, except to the extent that retention is required by applicable law, regulation, or bona fide litigation hold. Any retained Licensor Data subject to such legal obligation shall not be used for training, fine-tuning, evaluation, benchmarking, or improvement of AI/ML Systems.
(c) Within sixty (60) days after termination or expiration (or within thirty (30) days of a written request by PixelRush Studios, Inc.), Broadlaunch Mobile shall provide PixelRush Studios, Inc. a written certification, signed by an officer of Broadlaunch Mobile, confirming compliance with the deletion and purge obligations in this Section 10.3. The certification shall identify any Licensor Data retained due to legal hold and confirm such data has not been and will not be used to train, fine-tune, evaluate, benchmark, or otherwise improve any AI/ML Systems.
(d) The obligations in this Section 10.3 shall survive termination or expiration of this Agreement indefinitely, provided that data retention required by law shall survive only for the duration of the legal requirement and subject to the restriction in subsection (b).

WHERE THIS GOES

AI/ML training prohibitions are a permitted-use / confidentiality restriction, so this fits in Section 10 (Confidentiality).

RATIONALE

- Closes the silent gap — prevents Broadlaunch Mobile from training models on Licensor Data after termination.
- Requires prompt deletion from active systems and backups and a certified confirmation to PixelRush Studios, Inc.
- Survival language makes the restriction indefinite while allowing narrow retention for legal holds.

New subsection in Section 10 (Confidentiality) — AI training and model-use prohibition

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 AI and Machine-Learning Training Prohibition.
(a) Broadlaunch Mobile shall not, and shall ensure that its Affiliates, Subprocessors and any third parties acting on its behalf do not, use, access, process, host, copy, aggregate, analyze, or otherwise utilize any PixelRush Studios data, content, prompts, outputs, gameplay telemetry, or other information derived from or relating to the Mobile Application or PixelRush Studios' Confidential Information (collectively, "PixelRush Data") to train, fine-tune, evaluate, validate, benchmark, or improve any artificial intelligence, machine learning, deep learning, large language model, generative model, reinforcement learning, or similar model or system (including without limitation for reinforcement-learning from human feedback or RLHF), or to create or enhance any foundation models or datasets for such models.
(b) Notwithstanding Section 10.3(a), Broadlaunch Mobile may only use PixelRush Data for AI/ML purposes if and only if PixelRush Studios provides a prior written, explicit, and separate opt-in agreement that: (i) identifies the specific PixelRush Data sets to be used; (ii) describes the exact permitted uses and retention periods; (iii) identifies all third-party recipients and subprocessors (including foundation-model vendors); (iv) requires isolation or segregation of PixelRush Data from other datasets and prohibits commingling with training data derived from other customers or public data; and (v) requires Broadlaunch Mobile and its subprocessors to implement deletion or secure purge of PixelRush Data at PixelRush Studios' direction and to provide certification of compliance.
(c) Broadlaunch Mobile shall flow down the obligations in this Section 10.3 to all Affiliates, Subprocessors and third parties that receive PixelRush Data and shall remain fully liable for any breach by such parties.
(d) For avoidance of doubt, PixelRush Data includes aggregated or anonymized data derived from PixelRush Data; Broadlaunch Mobile may not assert that aggregation or anonymization alone permits training or other prohibited uses unless PixelRush Studios provides the written opt-in required by Section 10.3(b).
(e) A breach of this Section 10.3 shall be deemed a material breach for purposes of the Agreement and entitle PixelRush Studios to injunctive relief, termination for cause, and any other remedies available at law or equity, including but not limited to damages and disgorgement required by applicable regulatory authorities.

WHERE THIS GOES

AI-training prohibitions are a permitted-use / confidentiality restriction, so this fits in Section 10 (Confidentiality).

RATIONALE

- Prohibits Broadlaunch Mobile from secretly using PixelRush Data to train or improve AI models, closing the current silence gap.
- Requires a separate written opt-in with dataset, recipients, segregation, deletion and flow-down—preserving PixelRush Studios' control over training uses.
- Treats breach as material and preserves injunctive relief and disgorgement remedies referenced in FTC authority and California AB 2013 concerns.

New subsection in Section 10 (Confidentiality) — agentic AI use restrictions and controls

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Agentic AI; permitted uses, controls and liability.
(a) Broadlaunch Mobile shall not deploy, permit, or enable any agentic artificial intelligence or autonomous decision-making system ("Agentic AI") within the Mobile Application that, without human initiation or continuous human supervision, takes actions that affect third parties, initiates financial transactions, alters user or Licensor data, submits content to third-party systems, or otherwise performs operations that have legal, financial, or reputational consequences, unless PixelRush Studios, Inc. provides prior written approval in each case.
(b) Any approval by PixelRush Studios, Inc. to deploy Agentic AI shall be conditional and limited to a written specification that sets out, at a minimum: (i) the exact permitted scope of actions the Agentic AI may perform; (ii) monetary transaction caps (per-transaction and aggregate) and limits on economic commitments it may initiate; (iii) required authentication and authorization methods for any action that affects users, third parties, or Licensor systems; (iv) mandatory audit logging of all Agentic AI decisions and actions, retained for no less than three (3) years and made available to PixelRush Studios, Inc. on request; (v) a human-in-the-loop or human-on-the-loop approval or override mechanism that can immediately suspend or revert any Agentic AI action; (vi) rollback and incident response procedures and timelines; and (vii) a prohibition on Agentic AI delegating authority to other agents or autonomous systems except as expressly approved in writing by PixelRush Studios, Inc.
(c) Broadlaunch Mobile shall be solely responsible for all acts and omissions of any Agentic AI it deploys and shall indemnify, defend and hold harmless PixelRush Studios, Inc., its officers, directors, employees and agents from and against any and all claims, liabilities, losses, damages, costs and expenses (including reasonable attorneys' fees) arising out of or related to the deployment, operation or decisions of such Agentic AI, including without limitation regulatory enforcement, user claims, third-party claims, and damages to Licensor's reputation or business.
(d) Broadlaunch Mobile shall maintain insurance coverage adequate to cover liabilities arising from Agentic AI operations, and, upon PixelRush Studios, Inc.'s request, shall provide evidence of such coverage. Broadlaunch Mobile shall also promptly notify PixelRush Studios, Inc. in writing of any Agentic AI incident or breach that may materially affect PixelRush Studios, Inc.'s operations, users, or reputation.
(e) Any conflicting or inconsistent provision in this Agreement that would permit broader Agentic AI activity is hereby superseded to the extent of the conflict.
(f) For purposes of this Section 10.3, "Agentic AI" means any software, system, model, or combination thereof that can, without continuous human initiation and supervision, make and execute decisions or take actions in real-world or digital environments that have material legal, financial, operational, or reputational effects on persons or entities.

WHERE THIS GOES

Agentic AI use restrictions are a permitted-use/confidentiality control, so this fits in Section 10 (Confidentiality).

RATIONALE

- High-risk silence: contract currently has no controls for agentic AI; this clause prevents unapproved agent actions that could harm PixelRush Studios, Inc.

- Locks approvals and operational controls into contract: scope, caps, audit logs, human override, rollback, and prohibition on agent-to-agent delegation.
- Allocates liability: Broadlaunch Mobile bears responsibility, indemnity and insurance for agentic AI actions to protect PixelRush's brand and regulatory exposure.

New subsection in Section 10 (Confidentiality) — AI/ML feature disclosure and controls

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.x AI/ML Features and Controls.
(a) Broadlaunch Mobile represents and warrants that it has disclosed to PixelRush Studios, Inc. in writing, prior to execution of this Agreement, and will promptly update in writing, a complete and accurate list of any Artificial Intelligence or Machine Learning features or components incorporated into the Mobile Application ("AI Features"). That disclosure must identify for each AI Feature: (i) a brief functional description and classification (e.g., generative, recommendation, classification, predictive); (ii) the model type and version (including any third-party model name and version); (iii) the provider or host of the model (including any third-party service or cloud provider); (iv) whether the AI Feature is enabled by default; (v) what categories of Customer or end-user data are input to the AI Feature and whether such input is stored, logged, or used to further train or adapt the model; and (vi) any transfer or sharing of outputs or inputs to third parties.
(b) Broadlaunch Mobile shall not enable, change, update, or materially alter any AI Feature after the Effective Date without prior written approval from PixelRush Studios, Inc., which approval shall not be unreasonably withheld, conditioned or delayed; provided, however, PixelRush Studios, Inc. may withhold approval in its sole discretion if the change would create regulatory, IP, privacy, security, reputational, or material compliance risk to PixelRush Studios, Inc.
(c) Broadlaunch Mobile shall provide end users with a clear, accessible means to opt out of any AI Feature that uses personal data or to disable any AI Feature that materially alters the user experience; where an AI Feature is enabled by default, Broadlaunch Mobile shall require an affirmative opt-in prior to first use. Broadlaunch Mobile shall ensure any opt-out or disablement does not degrade functionality necessary to the core Licensed Rights granted to PixelRush Studios, Inc.
(d) Broadlaunch Mobile shall provide PixelRush Studios, Inc. with written notice at least thirty (30) days prior to deploying any new AI Feature or materially changing an existing AI Feature, including details sufficient to evaluate regulatory, IP, privacy, security, and reputational impact, and shall cooperate in good faith with PixelRush Studios, Inc. to remediate any identified risks prior to deployment. In exigent circumstances Broadlaunch Mobile may implement urgent security patches that affect AI Features, provided Broadlaunch Mobile notifies PixelRush Studios, Inc. promptly and documents the change and remediation plan within five (5) business days.
(e) Broadlaunch Mobile shall ensure that all AI Features comply with applicable law and industry guidance, including but not limited to the EU AI Act transparency obligations and FTC guidance on AI claims. Broadlaunch Mobile will not make public claims or in-app claims about the capabilities, safety, provenance, or training data of any AI Feature that are false, misleading, or materially omit information necessary for users to

make informed choices.
(f) Broadlaunch Mobile shall, at PixelRush Studios, Inc.'s reasonable request and subject to reasonable confidentiality protections, provide evidence and documentation (including model cards, data flow diagrams, training data provenance summaries, and SOC/third-party audit reports where available) necessary for PixelRush Studios, Inc. to evaluate compliance, IP origin, and data-flow risks arising from the AI Features.
(g) The representations, approvals, and notices required by this Section 10.x are material obligations; any breach of this Section shall be deemed a material breach of this Agreement and entitle PixelRush Studios, Inc. to injunctive relief, termination for cause, and recovery of damages and costs reasonably incurred in investigating and remedying the breach.

WHERE THIS GOES

AI/ML feature disclosure and controls are a permitted-use / confidentiality restriction, so this fits in Section 10 (Confidentiality).

RATIONALE

- EU AI Act and FTC guidance create disclosure and transparency obligations; PixelRush must lock disclosures and controls into the contract.
- Requires pre-approval, notice, opt-out/opt-in, and documentation so PixelRush can assess legal, IP, and reputational risk before Broadlaunch activates AI features.
- Treating breaches as material preserves PixelRush's right to injunctive relief and remediation costs.

AUTHORITY

- Aligns with EU AI Act transparency obligations (Art. 50) and FTC guidance on AI claims (FTC, "Keep your AI claims in check," Feb 2023).

New subsection in Section 10 (Confidentiality) — prohibit AI/ML training on Licensor materials

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 Prohibition on AI/ML Training and Use of Confidential Information.
(a) Broadlaunch Mobile shall not, and shall ensure that its Affiliates, sublicensees, contractors and service providers (collectively, "Providers") do not, use, access, process, reproduce, modify, redistribute, or otherwise exploit any PixelRush Studios, Inc. assets, Licensed Materials, Confidential Information, or any data, telemetry or analytics derived from the Mobile Application (collectively, "PixelRush Materials") to train, fine-tune, validate, benchmark, or improve any artificial intelligence, machine learning, neural network, foundation model, or similar model or algorithm (each, an "AI/ML Model") without PixelRush Studios, Inc.'s prior written consent, which may be withheld in PixelRush Studios, Inc.'s sole discretion.
(b) To the extent PixelRush Studios, Inc. grants any written consent under subsection (a), Broadlaunch Mobile shall ensure that:

(i) PixelRush Materials provided or accessed for such permitted purpose are segregated from other data and are marked and maintained as PixelRush Confidential Information;

(ii) Broadlaunch Mobile and its Providers do not retain any copies of PixelRush Materials (including model checkpoints, derived weights, or embeddings) longer than required to perform the approved activity and in any event no longer than thirty (30) days after completion of the activity, unless PixelRush Studios, Inc. expressly authorizes longer retention in writing;

(iii) Broadlaunch Mobile implements technical and contractual measures to prevent commingling of PixelRush Materials with data used to train or improve other models, and to prevent use of PixelRush Materials to initialize, seed, or otherwise influence any model beyond the approved scope;

(iv) Broadlaunch Mobile requires its Providers to enter into written obligations no less protective of PixelRush Materials than those required of Broadlaunch Mobile by this Section 10.3.

(c) Broadlaunch Mobile shall provide PixelRush Studios, Inc. with written notice identifying any Providers it intends to engage to process PixelRush Materials for any AI/ML purpose and shall obtain PixelRush Studios, Inc.'s prior written approval of each such Provider; PixelRush Studios, Inc. may condition approval on execution of an agreement directly between PixelRush Studios, Inc. and the Provider.

(d) Audit Rights. PixelRush Studios, Inc. shall have the right, upon no less than ten (10) business days' prior written notice and during normal business hours, to audit Broadlaunch Mobile's and its Providers' compliance with this Section 10.3, including inspections of relevant systems, logs, materials and agreements; Broadlaunch Mobile shall cooperate and provide reasonable access and documentation. If an audit reveals any non-compliance, Broadlaunch Mobile shall promptly remedy the non-compliance at its expense and shall reimburse PixelRush Studios, Inc. for the reasonable costs of the audit if material non-compliance is found.

(e) Equitable Relief. Broadlaunch Mobile acknowledges that a breach of this Section 10.3 would cause irreparable harm to PixelRush Studios, Inc. and that monetary damages may be an inadequate remedy; accordingly PixelRush Studios, Inc. shall be entitled to seek injunctive or other equitable relief in addition to any other remedies available at law or in equity.

WHERE THIS GOES

AI/ML training prohibitions are a permitted-use / confidentiality restriction, so this fits in Section 10 (Confidentiality).

RATIONALE

- Broadlaunch Mobile currently has no contractual restriction on training AI/ML models using PixelRush assets; this closes that gap and protects Licensor IP and telemetry.
- Requires segregation, short retention, and no-commingling to prevent model contamination and preserve exclusivity of Licensor data.
- Provides approval and audit rights and injunctive relief to enforce the prohibition and remediate breaches.

New subsection in Section 10 (Confidentiality) — AI processing and model-use restrictions

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.3 AI Processing and Model-Use Restrictions.
(a) Definitions. For purposes of this Section 10.3, “PixelRush Data” means any Confidential Information and any Licensed Materials, Source Code, artwork, design assets, game mechanics, user-generated content supplied by PixelRush Studios, Inc., and any telemetry or analytics derived from the foregoing. “Provider Models” means any artificial intelligence, machine learning or statistical models, algorithms, training systems, or services operated or controlled by Broadlaunch Mobile or its subcontractors, and “Third-Party Models” means analogous services provided by third parties.
(b) Permitted Inputs. Broadlaunch Mobile may only process the following categories of inputs with Provider Models in connection with the Mobile Application: (i) telemetry and usage data that is strictly necessary to provide or improve the Mobile Application’s functionality and that has been de-identified to prevent re-identification; (ii) data expressly authorized in writing by PixelRush Studios, Inc.; and (iii) data provided directly by an end user where the end user has given informed consent that includes disclosure that the data will be used with AI models.
(c) Prohibited Inputs. Broadlaunch Mobile shall not input, train, fine-tune, or otherwise expose any Provider Models or Third-Party Models to PixelRush Data except where PixelRush Studios, Inc. has provided prior express written approval specifying the permitted scope, security controls, retention, and permitted uses. PixelRush Studios, Inc. assets, Licensed Materials, Source Code, Confidential Information, and non-public user content are expressly prohibited from use as training data, prompts, or other inputs for model training or improvement unless PixelRush Studios, Inc. has granted prior written consent.
(d) Purposes and Limits. Broadlaunch Mobile shall only use AI processing for the purposes expressly agreed in writing by PixelRush Studios, Inc. and shall not use outputs to infer, generate, or reproduce PixelRush Studios, Inc. Confidential Information or Licensed Materials beyond the scope of that written agreement.
(e) Output Access and Use. Any outputs, suggestions, or content produced by Provider Models or Third-Party Models that are derived from or that reference PixelRush Data shall be treated as PixelRush Confidential Information and PixelRush Studios, Inc. shall retain all IP rights in such outputs. Broadlaunch Mobile shall implement role-based access controls and logging to restrict access to such outputs to personnel authorized by PixelRush Studios, Inc. and shall not publish, sublicense, sell, or otherwise distribute such outputs without PixelRush Studios, Inc.'s prior written consent.
(f) Retention, Deletion, and Non-Reuse. Broadlaunch Mobile shall (i) retain any PixelRush Data and any outputs derived from PixelRush Data only for the minimum period necessary to provide the agreed Services and in any event no longer than ninety (90) days unless PixelRush Studios, Inc. expressly authorizes longer retention in writing; (ii) upon PixelRush Studios, Inc.'s written request, promptly delete or return all PixelRush Data and outputs and provide written certification of deletion within thirty (30) days; and (iii) not reuse, repurpose, or feed any PixelRush Data or outputs back into Provider Models, Third-Party Models, or any training/analytics processes without PixelRush Studios, Inc.'s prior written consent.
(g) Approved Third-Party Models and Subprocessors. Broadlaunch Mobile shall provide PixelRush Studios, Inc. a written list of any Third-Party Models or subprocessors it intends to use that will process PixelRush Data and shall not engage any such Third-Party Models or subprocessors without PixelRush Studios, Inc.'s prior written approval. Broadlaunch Mobile shall flow down the obligations in this Section 10.3 to any approved subprocessors.
(h) Security and Content Safety Controls. Broadlaunch Mobile shall apply industry-standard security, access controls, input/output filtering, and content-safety measures (including but not limited to adversarial input

protection, rate-limiting, prompt- and output-sanitization) to Provider Models and any Third-Party Models processing PixelRush Data. Broadlaunch Mobile shall promptly notify PixelRush Studios, Inc. of any data incidents involving AI processing and cooperate in remediation.
(i) Audit Rights. PixelRush Studios, Inc. shall have the right, upon five (5) Business Days' prior written notice and not more than once per calendar year except for suspected breaches, to audit Broadlaunch Mobile's compliance with this Section 10.3, including inspection of systems, logs, subprocessors, and Model providers; such audit shall be conducted during regular business hours and in a manner designed to minimize disruption.
(j) Survival. The obligations of Broadlaunch Mobile under this Section 10.3 shall survive termination or expiration of this Agreement for a period of three (3) years, or longer to the extent required by applicable law or as to any retained Confidential Information under Section 10.2, whichever is longer.

WHERE THIS GOES

AI processing and model-use restrictions are a permitted-use / confidentiality restriction, so this fits in Section 10 (Confidentiality).

RATIONALE

- PixelRush is unprotected against Broadlaunch using PixelRush assets or telemetry to train or feed AI models; this locks in strict limits and approval rights.
- Requires Broadlaunch to list and get approval for any third-party models and to apply security, retention, deletion, and audit controls.
- Sets output ownership and bans reuse/feedback to provider models to protect IP and prevent leakage.

New subsection in Section 10 (Confidentiality) — AI-generated content labeling, watermarking, and compliance

Copy card

INSTRUCTION

Insert as a new subsection at the end of Section 10 (Confidentiality).

PROPOSED LANGUAGE

Copy

10.x AI-Generated Content Disclosure and Compliance.
(a) Broadlaunch Mobile shall ensure that any user-facing content generated wholly or in material part by artificial intelligence ("AI-generated Content"), including but not limited to text (e.g., chatbot responses), images, audio, and video, is clearly and conspicuously labeled in the Product's user interface as AI-generated or synthetic at the point of presentation to the end user.
(b) Where technically feasible and where required by Applicable Law, Broadlaunch Mobile shall apply persistent watermarking or machine-readable metadata to AI-generated Content sufficient to enable downstream detection and auditability, and shall ensure such watermarking/metadata survives reasonable transformations (e.g., resizing, compression, format conversion) to the extent reasonably practicable.
(c) Broadlaunch Mobile shall maintain and present in the Product a clear, accessible disclosure of the use of AI

in generating user-facing content, including a concise description of the nature and purpose of the AI processing, consistent with applicable legal requirements (including but not limited to the EU AI Act (Regulation (EU) 2024/1689) Article 50 and relevant California law), and shall update such disclosures promptly to reflect changes in Applicable Law or material changes in the AI models, data sources, or processing.

(d) Broadlaunch Mobile shall (i) comply with any technical or transparency specifications published by Licensor for labeling, watermarking, metadata schema, or UI disclosures, provided such specifications are reasonable and do not materially degrade the Product's functionality; and (ii) notify Licensor promptly upon learning of any actual or suspected failure to label or watermark AI-generated Content, or any regulatory inquiry or enforcement action relating to AI transparency in the Territory.

(e) Broadlaunch Mobile shall indemnify, defend and hold harmless PixelRush Studios, Inc. against any Losses arising from Broadlaunch Mobile's failure to comply with the obligations in this Section 10.x, including any fines, penalties, or third-party claims attributable to Broadlaunch Mobile's noncompliance with Applicable Law concerning labeling, watermarking, or disclosure of AI-generated Content.

(f) For clarity, nothing in this Section 10.x limits Broadlaunch Mobile's obligations under any other section of this Agreement, including confidentiality, security, or data protection obligations.

(g) If any portion of this Section 10.x is inconsistent with a mandatory provision of Applicable Law that cannot be modified by agreement, the parties shall in good faith amend the affected provisions to achieve compliance while preserving, to the maximum extent possible, the intent of this Section.

WHERE THIS GOES

AI-generated content disclosure and labeling obligations fall within permitted-use and transparency controls, so this fits as a new subsection at the end of Section 10 (Confidentiality).

RATIONALE

- Counterparty silence creates regulatory risk across California and EMEA; this clause forces Broadlaunch Mobile to handle labeling and watermarking obligations.
- Requires proactive UI disclosures, updates for EU AI Act Art. 50 and California laws, and indemnity for Broadlaunch Mobile to protect PixelRush Studios, Inc.
- Locks in technical cooperation with Licensor and a notification duty for labeling/watermark failures and regulatory inquiries.

Section 12.1 — expand regulatory carve-outs for AI-related liabilities

Copy card

12.1 Limitation of Liability

INSTRUCTION

Replace the existing sentence in Section 12.1 (Limitation of Liability) with the language below and add a new subsection to Section 11 (Indemnification) as provided.

PROPOSED LANGUAGE

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Except for breaches of the confidentiality provisions of Section 10, infringement of either party's intellectual property rights and/or any indemnification liability arising under Section 11, and liability arising from Broadlaunch Mobile's non-compliance with any applicable laws, regulations or governmental requirements governing artificial intelligence, automated decision-making, data subject profiling, and related automated or algorithmic systems (including but not limited to obligations and penalties under EU AI Act Art. 99; Colorado AI Act § 6-1-1706; TRAIGA Tex. Bus. & Com. Code Ch. 551; CAITA § 22757 et seq.; NYC Admin. Code § 20-872), in no event shall either party's liability to the other arising under this Agreement exceed the greater of (a) amounts paid or owing under this Agreement or (b) one hundred thousand dollars ($100,000), provided that liabilities described in this sentence arising from Broadlaunch Mobile's non-compliance with the foregoing AI-related laws, regulations or governmental requirements shall be subject to a separate cap equal to five (5) times the amounts paid or payable by Broadlaunch Mobile to PixelRush Studios under this Agreement or One Million Dollars ($1,000,000), whichever is greater.

11.5 AI Compliance Representation and Indemnity. Broadlaunch Mobile represents and warrants that any use, deployment, operation, training, tuning, or provision of models, algorithmic systems, automated decision-making systems, profiling systems, or other AI- or ML-based functionality delivered under or in connection with this Agreement shall comply with all applicable laws, regulations and governmental requirements governing artificial intelligence and automated decision-making. Broadlaunch Mobile shall indemnify, defend and hold harmless PixelRush Studios, its affiliates and their respective officers, directors, employees and agents from and against any and all claims, losses, liabilities, damages, fines, penalties, costs and expenses (including reasonable attorneys' fees and costs of investigation) arising out of or resulting from Broadlaunch Mobile's breach of the foregoing representation and warranty, or from Broadlaunch Mobile's non-compliance with any AI-related law, regulation or governmental requirement, including claims brought by regulators or governmental bodies seeking fines, penalties, remedial measures or other enforcement actions.

WHERE THIS GOES

AI compliance and indemnity obligations are contractually related to indemnification obligations, so add as a new subsection at the end of Section 11 (Indemnification).

RATIONALE

- AI regulation risks are rapidly evolving; PixelRush must be able to recover regulator-driven fines and enforcement costs caused by Broadlaunch Mobile's AI features.
- Creates an explicit Broadlaunch representation of AI compliance and an indemnity to shift regulatory enforcement exposure to Broadlaunch Mobile.
- Adds a higher, separate cap for AI-related liabilities so PixelRush is not under-compensated by the standard $100,000 cap.